



Office of the Tasmanian Energy Regulator

Statement of Reasons

**2008-09 Distribution Maximum Prices and Network
Tariffs
and
2008-09 Retail Tariffs for Non-contestable Tariff
Customers**

**In accordance with the 2007 Price Determination
June 2008**

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TABLE OF CONTENTS

1	INTRODUCTION	1
1.1	BACKGROUND	1
1.1.1	Retail Tariffs	1
1.1.2	Distribution Services	1
1.2	PURPOSE OF THIS STATEMENT	2
2	RETAIL TARIFFS	3
2.1	RETAIL TARIFF APPROVAL PROCESS	3
2.2	AURORA RETAIL TARIFF SUBMISSION.....	4
2.2.1	Retail Tariff Prices	4
2.2.2	Terms and Conditions	6
2.2.3	Customer Impacts.....	9
2.3	DECISION RETAIL TARIFFS.....	10
3	NETWORK TARIFFS	11
3.1	NETWORK TARIFF APPROVAL PROCESS.....	11
3.2	DISTRIBUTION NETWORK SUBMISSION.....	12
3.2.1	Network Tariff Strategy	13
3.2.2	Proposed Network Tariffs	13
3.2.3	Customer Impacts.....	14
3.3	DECISION NETWORK TARIFFS	14

1 INTRODUCTION

1.1 Background

The 2007 Investigation into maximum prices that may be charged by Aurora Energy Pty Ltd (Aurora) for distribution services and retail services for non-contestable tariff customers provided by Aurora was conducted under the *Electricity Supply Industry (Price Control) Regulations 2003* (Price Control Regulations), in accordance with the Terms of Reference prepared by the Regulator.

Following completion of the Investigation and release of the Final Report, the Regulator issued the 2007 Determination¹ in accordance with requirements of Regulation 31 of the Price Control Regulations.

1.1.1 Retail Tariffs

The 2007 Determination includes the requirement that:

Retail tariffs are to be submitted to the Regulator for approval each year in accordance with the Tariff Customers Regulations and any relevant guidelines issued by the Regulator.

Regulation 5 of the *Electricity Supply Industry (Tariff Customers) Regulations 1998* (Tariff Customers Regulations) also requires:

- (2) After 30 September 1998, an electricity retailer that proposes to amend a tariff as provided by section 38(2) of the Act –
 - (a) must submit a draft of the proposed amendment to the Regulator; and
 - (b) must not make the amendment to the tariff until the draft has been approved by the Regulator.

On 2 November 2007, the Regulator issued a *Guideline: Approval of Retail Tariffs in accordance with the 2007 Determination* (Retail Tariffs Approval Guideline). The Retail Tariffs Approval Guideline sets out the detailed requirements and process for the approval of Retail Tariffs for each period of the Determination.

1.1.2 Distribution Services

The 2007 Determination includes the requirement that:

Network tariffs are to be submitted to the Regulator for approval each year in accordance with any relevant guidelines issued by the Regulator (Clause 7(2))

¹ OTTER, *Investigation into Electricity Supply Industry Pricing Policies: Declared Electrical Services Pricing Determination*, October 2007

On 2 November 2007, the Regulator issued a *Guideline: Approval of Network Tariffs in accordance with the 2007 Determination* (Network Tariffs Approval Guideline). The Network Tariffs Approval Guideline sets out the detailed requirements and process for the approval of Network Tariffs for each period of the Determination.

1.2 Purpose of this Statement

This Statement sets out the Regulator's reasons for and decisions in regard to the approval of:

- Retail Tariffs for 2008-09 in accordance with the 2007 Determination and the requirements of the Tariff Customers Regulations; and
- Network Tariffs for 2008-09 in accordance with the 2007 Determination.

2 RETAIL TARIFFS

As noted above, in 2007 the Regulator undertook an investigation into retail electricity tariffs and made a Determination for retail tariff prices to apply for the period 1 January 2008 to 30 June 2010. Under the 2007 Determination, the Regulator sets a maximum average retail tariff price. Aurora may adjust tariff rates within this limit.

2.1 Retail Tariff Approval Process

There are two steps in the approval of retail tariffs.

- The first step is to assess the total allowable charges for a notional customer base of residential and business non-contestable tariff customers, referred to as the Notional Maximum Revenue (NMR).
- The second step is the approval of a set of tariffs which will deliver an amount of revenue (from the notional customer base) that will not exceed the NMR.

The NMR set in the 2007 Determination may be adjusted to take account of changes in some of Aurora's costs which are outside the control of the Regulator or Aurora. Cost items which may be subject to adjustment include:

- network charges for non-contestable tariff customers;
- the market participation fees and ancillary services charges set by the National Electricity Market Management Company (NEMMCO);
- the costs of Renewable Energy Certificates (RECs); and
- tax events as defined in the Price Control Regulations.

The actual costs of network charges, NEMMCO charges and RECs cannot be forecast with certainty. Therefore, Aurora will be able to adjust tariffs for the difference between the Regulator's original estimate and the actual costs. Similarly, tax events cannot be forecast as they are unknown events. Therefore, the Regulator is obliged to provide for a pass-through in the event that such a tax event may occur. Aurora is also permitted to adjust its retail tariffs to reflect the impact on the energy price of any changes to the transmission loss factors².

² Transmission loss factors are set each year by NEMMCO. As the loss factors to be applied by NEMMCO in future years cannot be determined in advance the Regulator applied the loss factors at the time the 2007 Determination was made for the purposes of that Determination.

The 2007 Determination provides for adjustments arising from the administration of the 2003 Determination³ and 2006 Determination⁴. In the 2003 and 2006 Retail Tariff Determinations the cost of transmission services and distribution services⁵ were provided for as separate pass-through items.

The 2003 and 2006 Determinations also provided for the pass-through of the difference between the actual and forecast costs incurred by Aurora in meeting its obligations for entry into the National Electricity Market (NEM Entry).

The Tariff Customers Regulations also require Aurora to submit to the Regulator its draft Tariff Schedule for approval prior to amending its Tariff Schedule.

2.2 Aurora Retail Tariff Submission

On 15 May 2008 Aurora wrote to the Regulator enclosing a copy of its *Retail Tariff Strategy and Pricing Proposal for 2008-09* and its draft Tariff Schedule in accordance with the 2007 Determination, the Retail Tariffs Approval Guideline and the Tariff Customers Regulations.

After considering the 15 May 2008 Submission, the Regulator questioned Aurora's treatment of the 2003 and 2006 Determination pass-throughs, in particular the appropriate treatment of pass-through adjustments for distribution and transmission charges, and the customer impacts of the proposed quantum of increases in the Nursing Home Tariff.

A revised Retail Tariff Proposal was received on 16 June 2008. The covering letter also included a request to approve under the Tariff Customers Regulations the proposed amendments to the Tariff terms and conditions outlined in the Retail Tariff Strategy and Retail Tariff Pricing Proposal. A revised Retail Tariff Strategy was received on 23 June 2008.

Copies of the Aurora submissions are available on the Pricing Approvals page of the Regulator's website www.energyregulator.tas.gov.au.

2.2.1 Retail Tariff Prices

As noted above, Aurora submitted on 16 June 2008, in accordance with the 2007 Determination and the Retail Tariffs Approval Guideline, its *Retail Pricing Proposal*, and on 23 June 2008 its *Retail Tariff Strategy*.⁶

³ OTTER, *Investigation into Electricity Supply Industry Pricing Policies: Declared Electrical Services Pricing Determination*, November 2003.

⁴ OTTER, *Determination of Maximum Prices for Electricity Retailing to Tariff Customers on Mainland Tasmania for 2007*, December 2006.

⁵ Under the 2007 Determination, the adjustments in distribution network services prices are made to the Network Tariffs and a separate pass through in the calculation of the Retail Tariffs is now not necessary.

⁶ In accordance with clause 2.3(a)(5) of the Retail Tariffs Approval Guideline.

In considering the request for approval of the draft retail tariff prices, the Regulator had to consider the components of the NMR for each of the residential and business customer segments (ie terms 'ResNMR' and 'BusNMR' in the Determination). One of the components of 'ResNMR' is 'ResNC'. 'ResNC' is the amount of network tariffs applicable to the Residential Notional Tariff Base. Similarly, one of the components of the 'BusNMR' is 'BusNC'. 'BusNC' is the amount of network tariffs applicable to the Business Notional Tariff Base. The amounts for ResNC and BusNC are derived from the schedule of network tariffs submitted on 4 June 2008 and approved on 26 June 2008.

Having reviewed the relevant material in the documents submitted by Aurora Retail the Regulator noted that:

- Aurora had complied with the requirements of the Tariff Customers Regulations and substantially complied with the Retail Tariffs Approval Guideline issued by the Regulator;
- Aurora had demonstrated that the prices it proposed to charge in period 2 (ie 1 July 2008 to 30 June 2009) for the Retail Tariffs set out in Schedule 2(A) of the 2007 Determination complied with the 2007 Determination;
- the proposed fees for Special Services were in accordance with the Regulator's decision on these fees; and
- the forecasts associated with the draft Tariffs were reasonable.

The Regulator also noted that:

- the Director's certification was provided on 26 June 2008;
- the methodology for calculating the adjustment for transmission pass-through costs arising from the administration of the 2006 Determination was not in accordance with the previously approved methodology.

In relation to the calculation of the transmission cost pass-through Aurora in its submission stated:

Adjustments are required to 2006 and 2007 because of differences in consumption from those originally used and in actual costs from the original estimates. For both years the methodology used in previous years has been applied, with the exception that load at the Transend/Aurora boundary has been derived from relevant customer loads grossed up by the loss factors used in the OTTER 2003 modelling, rather than the load measured at the terminal substations. This has been done because of a severe anomaly in the measured calendar 2006 loads, which grossly overstate the true load. It is also more consistent with the way in which the original load estimates were derived.

Aurora has noted that in 2006 there was an increase in measured load at the terminal substation of 12.24 per cent compared to Aurora's estimated 7.81 per cent growth in load, delivering a differential of more than four per cent. In 2004, 2005 and 2007 the differential between the measured loads at the terminal substations and the loads

estimated by Aurora using its proposed methodology was less than one per cent. Therefore, Aurora argued that for 2006 only, its estimate calculated using customer loads grossed up by the distribution loss factor, rather than loads at the terminal substations, should be used in the calculation of the final adjustment for 2006 transmission costs.

The Regulator notes this anomaly but considers that the metering at the terminal substations is required to be NEM compliant and, therefore, the metering data should be reliable. Further, this is the measured load used by Transend as a basis for determining its transmission charges. Other factors such as distribution losses may also impact on the growth differential between the two measured points. The Regulator considers that he has had insufficient time to fully investigate Aurora's proposal to use the customer load rather than the terminal substation loads and consider the implications.

The Retail parts of the 2007 Determination does not place any limitation on when adjustments from the 2003 and 2006 Determinations may be passed through to customers. Therefore, the Regulator has decided to defer a final decision on this matter until he has had time to fully investigate and consider the implications of the proposed change in methodology for the calculation of the transmission cost pass-through. So as to minimise any customer impacts, the Regulator will require Aurora to pass back to customers in 2008-09 the amount Aurora has calculated using its proposed methodology, and any necessary adjustment will be made in 2009-10.

The Regulator also notes that Aurora has not included any adjustments for the difference between actual and forecast retail NEM Entry related costs provided for under the 2003 Determination and 2006 Determination. Aurora has indicated a further submission on NEM Entry costs will be made to the Regulator later in 2008.

2.2.2 Terms and Conditions

As noted above, Aurora has written to the Regulator seeking approval for a number of changes to tariff terms and conditions. These include:

- Changes to the preamble – Aurora has requested that three items be added to the preamble:

All customer installations are to comply with the Power Factor requirements of Section 8.6.3 of the Tasmanian Electricity Code.

Any reference to time means Eastern Standard Time.

Attention is drawn to Aurora's General Network Terms and Conditions as set out in S3.19 of the Aurora Network Pricing Proposal, available at www.auroraenergy.com.au/powerline_network/Pricing_Proposal_Period2.pdf.

Consequently it is also proposed that any reference to power factor conditions previously provided under individual tariffs be removed.

- Amendment to the terms of Tariff 31 (Residential Light and Power) by deletion of condition (d) to reflect the Network proposal that no new curtilage discounts will be given.
- Amendment to the terms and conditions of Tariff 41 (Hot Water) and Tariff 42 (HydroHeat) to enable one small hot water unit per connection to be charged under either of these Tariffs.
- Amendment to the terms and conditions of the Tariff 61 (Off-peak with afternoon boost) – amended to reflect the terms and conditions applying to the underlying Network Tariff (N06 – controlled heating) and to allow access to this tariff in conjunction with Tariff 22.
- Amendment to the terms and conditions of Tariff 62 (Off-peak without afternoon boost) to reflect the proposed restructuring of Tariffs 22, 33 and 36.
- Amendment to the terms and conditions of Tariff 22 to enable Aurora to combine Tariff 33 and Tariff 36 with Tariff 22. The proposed amendments are as follows:
 - deletion of existing condition (b), as Aurora considers that there is no reason why a high voltage customer should not be charged at low voltage rates in the unlikely event that this is beneficial to them;
 - insertion of a new condition (b) to recognise the tariff associations permitted to former Tariff 33 and 36 customers, and to extend the availability of Tariff 61 (Off-peak with afternoon boost) and Tariff 43 (Institutional Hot Water) to Tariff 22 customers;
 - insertion of a new condition (c) which gives effect to the proposal to abolish new curtilage discounts and “grandfather” existing curtilage discounts for those customers who were previously eligible to receive them under Tariff 36; and
 - insertion of a new condition (d) which specifies the rate of curtilage discount for those customers eligible for the discount.
- Amendment to Tariff 43 (Institutional Hot Water) to recognise the revised Tariff 22, and otherwise preserve previously permitted associations.
- Amendment to Tariff 73/74 (Irrigation) by replacing the current condition that the night rate is available between 8pm and 7am, with the following text specifying that the night rate is to be available:

...for not less than 10 hours between 8 pm and 7 am. In general the night rate will be available for 10 hours, but subject to network constraints and at Aurora’s discretion, an 11 hour window may be available on request. For individual customers the starting and finishing times for the night rate will be staggered and may commence at any time between 8 pm and 9 pm and end at any time between 6 am and 7 am, subject to the 10 hour minimum availability.”

- Deletion of:

General conditions applicable to High Voltage Tariffs

For conditions other than those related to supply voltage, apply the low voltage equivalents as follows:

Tariff 35 - refer to Tariff 34

These tariffs may be applied, at the discretion of Aurora, only to an approved electrical installation, or to part of an approved electrical installation, that was supplied at 31 December 1999 under the Aurora Energy Standard Terms and Conditions.

to recognise that these tariffs no longer remain on the Tariff Schedule.

- Amendment of:

General conditions applicable to all commercial and industrial power customers

by deleting points (a) to (c) to recognise the power factor requirements now being covered in the preamble.

The Regulator notes that the proposed changes to the terms and conditions, including the phasing out of curtilage discounts, were discussed in the Draft Retail Tariff Strategy and therefore subject to public consultation. Aurora has advised that, whilst it had discussions with a number of groups, only one formal submission was received in response to the Draft Retail Tariff Strategy. This submission was limited to the proposed increases in Nursing Home Tariffs.

In relation to Aurora's proposal to remove curtilage discounts over time, the Regulator notes that the availability of curtilage discounts to Tariff 36 customers has previously been reflected in both Tariff 36 and Tariff 31 terms and conditions. Consequential on the proposed merger of Tariff 36 with Tariffs 22 and 33, Aurora proposed incorporating the terms and conditions relating to curtilage discounts (albeit amended to reflect the removal of curtilage discounts over time) into Tariff 22. In its Final Retail Tariff Strategy and Pricing Proposal, rather than amending Tariff 31 terms and conditions Aurora proposed deleting the relevant term and condition (d) because no new curtilage discounts are to be offered.

The Regulator considers that it is preferable and, therefore, requested Aurora to amend condition (d), consistent with the approach adopted by Aurora for Tariff 22. In the revised Tariff Schedule submitted on 24 June, Aurora has given effect to the Regulator's request by amending condition (d), which states:

- (d) Curtilage conditions may apply in respect of existing curtilage discounts.
No new Curtilage discounts will be available.

The Regulator has accepted this proposed amendment to condition (d).

2.2.3 Customer Impacts

The Aurora Retail Pricing Proposal provides for:

- average price increases of 4.1 per cent for Residential Tariffs, which are consistent with the forecasts made at the completion of the 2007 Investigation;
- average price increases of 1.4 per cent for Business Tariffs, which are less than the forecasts made at the completion of the 2007 Investigation.

The Regulator has analysed the drivers behind the differential in average price changes between residential and business customers. The impact of changes in network tariff prices and the energy price is consistent between the two sectors as can be seen from Table 2.1. The ‘other’ category accounts for the differing percentage impact the two sectors.

Table 2.1: Contribution to average changes in Tariffs for each customer sector

	Residential %	Business %
Network Charges	3.2	3.0
Energy	2.1	2.2
Other (including pass through adjustments from 2003, 2006 and 2007 Determinations)	-1.3	-3.8
Total	4.1	1.4

Analysis suggests that the differential principally arises from the adjustments from the 2003 and 2006 Determinations for renewable energy certificates (RECs), National Electricity Market Management Company (NEMMCO) fees and charges (including the cost of ancillary services) and transmission charges⁷. The methodologies used to allocate the adjustments (other than transmission charges mentioned above) are consistent with previous years. As can be seen from Table 2.2, the effect is an equal allocation of the adjustments in dollar terms to each sector, minus \$2.659 million to residential customers and minus \$2.701 million to business customers. However, the lower loads (total consumption) and the lower value in the NMR in the business sector means that the percentage impact is greater as illustrated in Table 2.1 above.

⁷ As detailed in Attachment A of the Aurora Retail Pricing Proposal V2 June 2008, there are other adjustments totalling \$657 000 for residential customers and \$413 000 for business customers.

Table 2.2: Pass Through Charges from the 2003 and 2006 Determinations

Cost Element	Residential \$m	Business \$m
Pass-throughs from previous Determinations		
RECs	-0.230	-0.188
NEMMCO charges	-1.002	-0.819
Transmission	-1.427	-1.695
Total	-2.659	-2.701

As illustrated in Section 5 of the Aurora Retail Pricing Proposal, the majority of small business customers may see reductions in their quarterly bills from 1 July 2008, but some customers will face price increases above the average. Customers that are likely to see above-average increases during 2008-09 are:

- residential customers connected to an off-peak tariff, who can expect to see price increases slightly above the average, in the order of 4.2 per cent to 4.5 per cent;
- Nursing Homes who can expect to see price increases in the order of 6.3 per cent to 7.0 per cent;
- irrigation customers who can expect to see pricing increases in the order of 3.4 per cent for small customers up to 4.5 percent for larger customers;
- some customers on demand tariffs who may experience bill increases of between 6.0 per cent and 10 per cent, with a small number facing increases of greater than 10 per cent.

2.3 Decision Retail Tariffs

The Regulator, in accordance with Regulation 5(3)(b) of the Tariff Customers Regulations, approved the proposed amendment to the Retail Tariff for customers on mainland Tasmania on 26 June 2008, including the proposed tariff prices and proposed amended terms and conditions, with the modification that Tariff 31 term and condition (d) is to be consistent with the proposed Tariff 22 terms and conditions (c) and (d).

The approved schedule of electricity prices and terms and conditions (Tariff Schedule) for the period 1 July 2008 to 30 June 2009 is provided at Attachment A to this Statement of Reasons.

3 NETWORK TARIFFS

During 2007 the Regulator undertook an investigation into distribution services and made a Determination of the maximum prices for distribution network services and metering services to apply for the period 1 January 2008 to 30 June 2012.

3.1 Network Tariff Approval Process

There are two steps in the approval of network tariffs.

- The first step is to calculate the maximum revenues that can be earned from distribution network services and maximum average charges for metering services.
- The second step is the approval of a set of tariffs which will deliver an amount of revenue (from a defined base number of installations and load assumptions) that will not exceed the maximum revenues as calculated at step 1, plus the transmission charges and metering charges for the relevant period, and which satisfy the pricing principles in the 2007 Determination.

Under the Determination the Regulator sets maximum revenues by reference to an annual allowable revenue requirement (AARR) for network services, and a maximum average daily charge per meter for metering services. Aurora may adjust tariff rates within the limit provided by the Determination. That is, Aurora may design its tariffs and set the price for each component of these tariffs to ensure that it recovers no more than the maximum revenue for distribution network services and transmission services charges plus the maximum average daily charge per meter for metering services. In addition, the network tariff design must satisfy the pricing principles set out in the 2007 Determination.

Some of the costs that make up the AARR are outside the control of the Regulator and/or Aurora. These costs are treated as ‘pass-throughs’ to distribution connected customers. That is, Aurora will be able to adjust its AARR to account for the difference between the Regulator’s original estimate and the actual costs. Costs that can be treated as pass-throughs in the 2007 Determination include:

- the Electrical Safety Inspection Charge and the National Energy Market Charge imposed by Government under the *Electricity Supply Industry Act 1995*;
- costs incurred in relation to the legislative obligation to provide a retailer of last resort function under the *Electricity Supply Industry Act (Contestable Customer) Regulations 2005*;
- adjustments arising from a tax event as required under the Price Control Regulations;

- adjustments relating to the administration of the 2003 Determination, including the impact of:
 - differences between actual and forecast operational and service connection assets capital expenditure and associated depreciation, customer capital contributions and disposals,
 - differences between actual and forecast electrical safety costs,
 - the service incentive scheme rewards or penalties arising from actual SAIDI and SAIFI⁸ being below or above the targets set in the 2003 Determination,
 - differences between actual and forecast NEM Entry related capital and operational expenditures, and
 - differences between actual and forecast number of installed meters;
- differences between the forecast costs and the approved actual costs incurred by Aurora arising from NEM and retail contestability activities; and
- differences between the actual costs and forecast costs of the Tasmanian Government's trunk mobile radio project.

The 2007 Determination stipulates that any adjustments arising from the 2003 Determination must be accounted for in periods 1 and 2 only. No further adjustments may be made in future periods.

3.2 Distribution Network Submission

Aurora initially wrote to the Regulator on 1 May 2008 seeking approval of its *Network Tariff Strategy* and its *Network Tariff Pricing Proposal* for the period 1 July 2008 to 30 June 2009. Aurora identified a small number of errors in the calculation of its AARR and a revised submission was received on 7 May 2008. The Regulator had a number of concerns regarding the customer impacts of certain proposed network tariff increases.

The Regulator noted that whilst Aurora Retail had proposed in its draft Retail Tariff Strategy that the terms and conditions for Tariff 41 be amended to enable the connection of one small hot water service per connection, Aurora Network had maintained its terms and conditions associated with the underlying network tariff, therefore the Aurora Retail proposal would not be able to be implemented. Following discussions between Aurora and the Regulator, Aurora agreed to revise its Network Tariff Pricing Proposal and supporting documents and resubmit them. An amended draft Network Tariff Pricing Proposal and supporting documents was received on 4 June 2008. An amended Network Tariff Strategy (updated to reflect the 2008-09 revised network tariffs) was received on 13 June 2008. The Submission

⁸ SAIDI is the system average interruption duration index and SAIFI is the system average interruption frequency index.

was supported by an internal audit certificate and a Director's responsibility statement (received 26 June 2008).

3.2.1 Network Tariff Strategy

Aurora submitted its final Network Tariff Strategy on 13 June 2008. The Regulator has examined the Network Tariff Strategy and notes that it complies with the requirements of clause 2.3(c) of the Guideline for the Approval of Network Tariffs. The Regulator notes, and welcomes, that there will be further consultation prior to implementation of certain parts of the strategy. The strategy includes a number of contentions- for example that the residential sector and the small business sector share load characteristics that warrant their inclusion in the same tariff class- that are not substantiated. In addition, there are some inconsistencies within the document regarding Aurora's intentions for 'specified demand' tariffs, and the rationale for this initiative lacks recognition of the cost of such a scheme for customers and Aurora that needs to be offset by unspecified benefits. These and other matters will be the subject of a separate open communication with Aurora.

3.2.2 Proposed Network Tariffs

The Regulator, having reviewed the relevant material in Aurora's Network Tariff Pricing Proposal for 2008-09, noted that:

- Aurora had complied to a satisfactory extent with the Approval of Network Tariffs Guideline in accordance with the 2007 Determination and the proposed Network Tariffs for Period 2 are consistent with its Network Tariff Strategy;
- Aurora was seeking approval of an adjustment of +\$8.406 million to its AARR relating to the administration of the 2003 Determination, including a pass-through of NEM related operating expenditure of \$3.263 million;
- Aurora was seeking approval to utilise the 'banking' facility (the "O" factor in the AARR formula) in the 2007 Determination, by deferring \$1.297 million of allowances to the 2010-11 pricing period;
- Aurora had demonstrated, supported by the internal audit certification, that the AARR and the network tariffs it was proposing to charge in Period 2 both complied with the 2007 Determination;
- although the necessary Director's responsibility statement did not accompany the submission, it was supplied to the Regulator on 26 June 2008; and
- forecasts and methodologies associated with the proposal were reasonable.

In regard to the 2003 adjustments arising from the 2003 Determination (the "CF" factor in the AARR formula), the Regulator notes that he has yet to finally approve the NEM Entry related operating costs pass-through adjustments of \$3.263 million submitted by Aurora as there has been insufficient time to give detailed consideration to the matters raised in the Aurora NEM Cost Submission. Given the delay, the Regulator has allowed Aurora's estimate to be used in calculating its AARR for

2008-09, recognising that any adjustments to the actual allowable amounts can be accommodated through adjustment to the “O” factor. That is, the total AARR will remain unchanged for 2008-09, but if the Regulator’s final decision on the NEM cost pass-through allowance, would result in a different amount being passed through to customers, then an off-setting adjustment will be made to the “O” factor such that the AARR for 2008-09 remains unchanged.

3.2.3 Customer Impacts

The Regulator also notes Aurora’s typical customer analysis would deliver retail tariff price increases, assuming no other changes, for:

- residential customers of between 3.8 per cent and 4.7 per cent; and
- business customers, other than nursing home customers, of between 3.6 per cent and 5 per cent.

Whilst Aurora’s analysis would suggest nursing home customers would see price decreases, due to rebalancing at the retail level, and as noted in Section 2, nursing home customers are likely to see real increases of between 6.3 and 7.0 per cent.

3.3 Decision Network Tariffs

The Regulator approved the Network Tariff Pricing Proposal in accordance with the 2007 Determination and the Network Tariffs Approval Guideline on 26 June 2008.